

Unit 2

Developing a Strategic Service Vision (SSV)

Developing a Strategic Service Vision (SSV) involves identifying a target market, crafting a service concept, establishing an operating strategy, and designing a service delivery system to meet customer needs and differentiate your service from competitors.

SSV Process

1. Understanding the Foundations:

- **Strategic Vision:**

A strategic vision is a forward-looking statement that outlines where an organization aspires to be in the mid- to long-term future. It's a roadmap that guides the organization's direction and helps employees and stakeholders understand the desired future state.

- **Strategic Service Vision (SSV):**

In the context of service businesses, the SSV builds upon the broader strategic vision, focusing specifically on how the service will be delivered and the value it will provide to customers.

- **Alignment with Organizational Goals:**

Ensure that the SSV aligns seamlessly with the broader goals and mission of the organization.

2. Key Steps in Developing an SSV:

- **Identify Target Market:**

Determine the specific customer segment(s) the service will cater to.

- **Develop a Service Concept:**

Define the unique value proposition and how the service will address the needs of the target market.

- **Establish an Operating Strategy:**

Outline the operational approach, including resource allocation, processes, and technologies, to support the service concept.

- **Design a Service Delivery System:**

Plan the infrastructure, personnel, and processes needed to deliver the service effectively.

- **Stakeholder Involvement:**

Engage key stakeholders, including team members, leadership, and customers, throughout the development process.

- **Review and Update:**

Regularly review and update the SSV to ensure it remains relevant and aligned with changing market conditions and organizational goals.

3. Benefits of a Strong SSV:

- **Clarity and Direction:**

A well-defined SSV provides clarity and direction for the organization and its employees.

- **Customer Focus:**

It ensures that the service is designed and delivered with the customer's needs and expectations in mind.

- **Differentiation:**

A strong SSV helps the service stand out from competitors by highlighting its unique value proposition.

- **Employee Engagement:**

A compelling SSV can motivate and engage employees by providing a clear understanding of the organization's purpose and direction.

- **Improved Performance:**

By aligning service operations with strategic goals, an SSV can lead to improved performance and outcomes.

Data Envelopment Analysis (DEA)

Data Envelopment Analysis (DEA) is a non-parametric method used to measure the relative efficiency of decision-making units (DMUs) that use multiple inputs to produce multiple outputs, often used in operations research and economics for estimating production frontiers

How it works:

- It compares the inputs and outputs of different DMUs to determine their relative efficiency.
- It establishes an efficient frontier, which represents the best possible performance based on the observed data.
- It uses linear programming to estimate the efficiency of multiple DMUs.

Key Concepts:

- **Decision-Making Units (DMUs):** These are the entities being evaluated, such as organizations, departments, or processes.
- **Inputs:** Resources used by the DMUs, such as labor, capital, or materials.
- **Outputs:** The results or products of the DMUs, such as goods, services, or outcomes.
- **Purpose and Applications:**
- **Efficiency Measurement:** DEA helps identify best practices and areas for improvement in resource utilization.
- **Benchmarking:** It allows organizations to compare their performance against others in the same industry or sector.

- **Performance Evaluation:** DEA can be used to evaluate the performance of different departments, programs, or projects.
- **Resource Allocation:** It can inform decisions about how to allocate resources more effectively.

Advantages:

- **Non-parametric:** DEA does not require assumptions about the underlying data distribution.
- **Handles multiple inputs and outputs:** It can accommodate complex situations with multiple factors.
- **Flexibility:** DEA can be adapted to different contexts and industries.

Limitations:

- **Homogeneous DMUs:** DEA is most effective when evaluating a group of DMUs that are relatively similar in terms of their inputs and outputs.
- **Data Quality:** The accuracy of DEA results depends on the quality and availability of the data.
- **Interpretation:** DEA results can be complex to interpret, requiring expertise in the field.

New Service Development (NSD) Cycle

New Service Development (NSD) cycle is a structured process for creating and launching new services, typically involving stages like idea generation, concept development, business analysis, and implementation, ensuring services meet customer needs and are profitable.

Steps in New Service Development (NSD) Cycle

1. Opportunity Identification:

Market Research: Identify unmet customer needs, emerging trends, and gaps in the market.

Internal Exploration: Brainstorm ideas within the organization and consider existing strengths and resources.

Competitive Analysis: Analyze competitors' offerings and identify potential areas for differentiation.

2. Service Concept Development:

Brainstorming:

Generate a range of potential service concepts that address the identified opportunities.

Concept Refinement:

Develop and refine the service concepts, focusing on key features, target audience, and value proposition.

Concept Testing:

Test the concepts with potential customers to gather feedback and refine the service further.

3. Business Analysis:

Feasibility Study: Assess the financial viability and market potential of the service concept.

Cost Analysis: Determine the costs associated with developing, producing, and delivering the service.

Risk Assessment: Identify potential risks and challenges associated with the new service.

4. Service Design:

Process Design:

Develop the operational processes and procedures for delivering the service.

Technology Selection:

Choose the appropriate technology and infrastructure to support the service.

Service Blueprint:

Create a visual representation of the service delivery process, including customer interactions and touchpoints.

5. Implementation:

Resource Allocation: Secure the necessary resources, including personnel, equipment, and technology.

Training: Train employees on the new service and its delivery processes.

Pilot Testing: Test the service in a limited setting before a full-scale launch.

6. Launch and Evaluation:

Marketing and Promotion: Launch the service to the target market and promote it effectively.

Customer Feedback: Gather feedback from customers to identify areas for improvement.

Performance Monitoring: Track the performance of the service and make adjustments as needed.

Service Blueprinting

Service blueprinting is a strategic tool used in service design to visually map out and analyze the entire service process, encompassing both customer-facing interactions and behind-the-scenes operations, to improve service delivery and customer experience.

Why it's important

- **Improved Service Design:** It helps identify potential problems and areas for improvement in the service delivery process.
- **Enhanced Customer Experience:** By understanding the customer journey, service blueprints can help create a more seamless and satisfying experience.
- **Better Communication and Collaboration:** They facilitate communication and collaboration among different departments and stakeholders involved in the service.
- **Increased Efficiency:** By identifying bottlenecks and inefficiencies, service blueprints can help improve overall operational efficiency.

Key Elements of a Service Blueprint

- **Customer Actions:** What the customer does during each step of the service.
- **Frontstage Actions:** The actions that the customer sees and interacts with, such as staff interactions or physical touchpoints.
- **Backstage Actions:** The behind-the-scenes activities that support the frontstage actions, such as food preparation in a restaurant or data processing.
- **Support Processes:** The systems and processes that enable the service delivery.

How to Create a Service Blueprint

- **Identify the Service:** Determine which service phase or process needs to be mapped.
- **Map the Customer Journey:** Outline the steps the customer takes during the service experience.
- **Map the Service Processes:** Identify the frontstage and backstage actions involved.
- **Identify People Involved:** Determine who is involved in each step, including customers, employees, and other stakeholders.
- **Link the Steps:** Connect the customer actions with the service processes and people involved.
- **Analyze the Blueprint:** Identify potential problems, inefficiencies, and opportunities for improvement.

Elements of service delivery system

- **Service Culture:**
This refers to the leadership principles, vision, mission, work habits, and values of a service provider company.

A strong service culture fosters a commitment to delivering high-quality service and meeting customer needs.

- **Employee Engagement:**

Engaged employees are more likely to be motivated and provide excellent service.

This involves creating a positive work environment, providing opportunities for growth and development, and recognizing employee contributions.

- **Service Quality:**

This focuses on the quality of the service itself, ensuring it meets or exceeds customer expectations.

It involves establishing clear service standards, implementing effective processes, and continuously seeking ways to improve service delivery.

- **Customer Experience:**

This encompasses the entire customer journey, from initial contact to post-service interactions.

It's crucial to understand customer needs and preferences and tailor the service accordingly to create a positive and memorable experience.

- **Physical Support and Internal Systems:**

This includes the physical infrastructure, tools, and technologies used to deliver the service.

It also encompasses the internal processes, procedures, and systems that support service delivery, such as back-office operations and information management.

Customer Journey mapping and service design

Customer Journey Mapping:

Definition:

A visual representation of a customer's experience when interacting with a product, service, or brand, from initial awareness to post-purchase.

Purpose:

To understand customer needs, identify pain points, and improve the overall customer experience.

Key Elements:

Stages: Awareness, Consideration, Purchase, Retention, Advocacy (or Loyalty).

Touchpoints: The points of contact a customer has with the brand (e.g., website, social media, customer service).

Actions: What the customer does at each stage.

Thoughts & Emotions: What the customer is thinking and feeling at each stage.

Pain Points: Challenges or frustrations the customer experiences.

Benefits:

- Builds a shared understanding of the customer experience.

- Identifies opportunities for improvement.
- Focuses on customer needs and drives innovation.
- Helps to create a more customer-centric product or service.
- How to create a customer journey map:
 - Define your persona and scenario .
 - Outline key stages, touchpoints, and actions .
 - Fill in the user's thoughts, emotions, and pain-points .
 - Identify opportunities .
 - Define action points and next steps .

Service Design:

Definition:

The process of planning, designing, and implementing services to meet customer needs and improve the overall customer experience.

Focus:

Improving efficiency, reducing customer effort, and enhancing the overall user experience.

Relationship to Customer Journey:

Service design is often used to improve the customer journey by optimizing processes and touchpoints.

Service Blueprint:

A visual representation of the service process, including customer actions, staff actions, and supporting systems.

Benefits:

- Improves efficiency and reduces costs.
- Enhances customer satisfaction and loyalty.
- Creates a more seamless and enjoyable customer experience.

Key Principles:

Customer-centricity: Focus on understanding and meeting customer needs.

Empathy: Understanding the customer's perspective and emotions.

Collaboration: Working across departments to improve the customer experience.

Innovation: Continuously seeking ways to improve the service.

Design Thinking

Design Thinking, focus on user empathy, problem definition, ideation, prototyping, and testing, using methods like empathy mapping, brainstorming, and user feedback sessions to create user-centered solutions.

How to leverage Design Thinking in your service design:

1. Empathize:

Understanding User Needs:

Start by deeply understanding your users' needs, behaviors, and pain points related to the service.

Methods:

Empathy Mapping: Create visual representations of user perspectives, including their thoughts, feelings, actions, and motivations.

User Interviews and Surveys: Gather direct feedback from users about their experiences and expectations.

Contextual Inquiry: Observe users in their natural environment to understand how they interact with the service.

Example:

If designing a new customer service process, interview customers to understand their frustrations and expectations during a service interaction.

2. Define:

Problem Statement:

Clearly articulate the problem or opportunity you're trying to address based on your empathy research.

Methods:

"How Might We" Questions: Frame the problem in a way that encourages creative solutions.

Problem Tree: Break down complex problems into smaller, more manageable components.

Example:

If the empathy research reveals that customers are frustrated with long wait times, the problem statement might be "How might we reduce customer wait times during service interactions?".

3. Ideate:

Generate Ideas: Brainstorm a wide range of potential solutions to the defined problem.

Methods:

Brainstorming: Encourage free-flowing ideas from the team.

Scamper: Use the SCAMPER framework (Substitute, Combine, Adapt, Modify, Put to other uses, Eliminate, Reverse) to generate new ideas.

Mind Mapping: Visually organize ideas and their relationships.

Example: To address long wait times, brainstorm ideas like implementing a queue management system, offering alternative channels for service, or improving staff training.

4. Prototype:

Create Mockups:

Develop tangible representations of potential solutions to test with users.

Methods:

Low-Fidelity Prototypes: Quickly create rough versions of the service using paper or simple tools.

High-Fidelity Prototypes: Develop more detailed and realistic versions of the service.

Example:

Create a flowchart of the new customer service process or a mock-up of a new online portal.

5. Test:

Gather Feedback:

Test your prototypes with real users to gather feedback and identify areas for improvement.

Methods:

User Testing: Observe users interacting with the prototype and gather their feedback.

A/B Testing: Compare different versions of the service to see which performs better.

Example:

Test the new customer service process with a small group of customers and gather their feedback on the flow and ease of use.

Models of facility locations (Huff's retail model)

The Huff model, a spatial analysis tool, predicts the probability of a consumer visiting a site based on its distance, attractiveness, and the attractiveness of competing sites. It's widely used in retail location planning and marketing to determine trade areas and potential sales.

Here's a more detailed explanation:

Core Principle:

The Huff model assumes that the probability of a consumer visiting a particular location is a function of its distance and attractiveness, relative to other potential destinations.

Factors:

Distance: The further a potential customer is from a location, the lower the probability of visiting it.

Attractiveness: A location's attractiveness is determined by factors like size, number of stores, variety of goods, and services offered.

Competing Sites: The model also considers the distance and attractiveness of competing locations, as these can influence a consumer's choice.

Applications:

Trade Area Analysis: The Huff model helps determine the geographic area where a store or business can expect to draw customers.

Site Selection: It can be used to assess the potential of different locations for a new business, considering factors like accessibility and competition.

Marketing and Sales Forecasting: The model can help predict sales potential and allocate marketing resources more effectively.

Mathematical Foundation:

The Huff model is often based on a gravity model, which suggests that the interaction between two locations is proportional to the product of their sizes and inversely proportional to the square of the distance between them.

Implementation:

The Huff model can be implemented using various software tools, including GIS (Geographic Information Systems) software like ArcGIS Pro.

Defining Servicescape

- The servicescape encompasses the physical environment where a service is delivered, including the facility's exterior and interior, as well as ambient conditions like temperature, lighting, and noise.
- It's a key element in tangibilizing intangible services, helping customers form expectations and impressions.
- It's the physical evidence that customers use to judge the quality of a service, especially when the service itself is intangible.

2. Key Roles of Servicescape in Layout Design:

- **Packaging:**

The servicescape acts as a "package" that communicates the brand's image and the type of service offered.

- **Facilitator:**

A well-designed servicescape facilitates the efficient flow of activities, making it easier for customers and employees to interact and complete tasks.

- **Socializer:**

The servicescape can influence customer and employee behavior, creating an environment that is conducive to social interaction and positive experiences.

- **Differentiator:**

A unique and well-designed servicescape can help a business stand out from the competition and create a memorable experience.

3. Elements of Servicescape:

- **Ambient Conditions:**

These include temperature, lighting, noise, and scent, which can significantly impact customer comfort and mood.

- **Spatial Layout and Functionality:**

This refers to the arrangement of furniture, equipment, and spaces, and how well they facilitate the service delivery process.

- **Signs, Symbols, and Artifacts:**

These include signage, decorations, and other visual elements that communicate information and reinforce the brand's identity.

4. Impact on Customer Experience:

- A well-designed servicescape can enhance customer satisfaction, loyalty, and perceived service quality.
- It can also influence customer behavior, such as encouraging longer stays or repeat visits.
- Conversely, a poorly designed servicescape can lead to negative perceptions, dissatisfaction, and even avoidance.

5. Examples:

- **Restaurant:**

A restaurant's servicescape might include ambient lighting, comfortable seating, and a well-organized layout to create a relaxing and enjoyable dining experience.

- **Retail Store:**

A retail store's servicescape might feature attractive displays, clear signage, and a spacious layout to encourage browsing and purchases.

- **Hospital:**

A hospital's servicescape might include calming colors, comfortable waiting areas, and efficient flow to reduce patient stress and anxiety.

The SERVQUAL model

The SERVQUAL model, a widely used tool for measuring service quality, assesses the gap between customer expectations and perceived service delivery across five key dimensions: tangibles, reliability, responsiveness, assurance, and empathy.

Here's a more detailed explanation:

Key Concepts of the SERVQUAL Model:

- **Purpose:**
To measure service quality by comparing customer expectations with their perceptions of actual service delivery.
- **Five Dimensions of Service Quality:**
 - **Tangibles:** The appearance of physical facilities, equipment, personnel, and communication materials.
 - **Reliability:** The ability to perform the promised service dependably and accurately.
 - **Responsiveness:** The willingness to help customers and provide prompt service.
 - **Assurance:** The knowledge and courtesy of employees and their ability to inspire trust and confidence.
 - **Empathy:** The caring, individualized attention provided to customers.



- **How it Works:**
 - A questionnaire is used to measure both customer expectations and perceptions of service quality across the five dimensions.
 - The model calculates the gap between these two (expectations vs. perceptions) to identify areas for improvement.
 - When customer expectations are higher than their perceptions, service quality is deemed low.
- **Origin:**

Developed by Parasuraman, Zeithaml, and Berry (PZB).

- **Application:**

Businesses use SERVQUAL to assess service quality, identify areas for improvement, and ultimately enhance customer satisfaction and loyalty.

- **Limitations:**

While the model is widely used, it has faced some criticism, leading to variations and refinements, such as SERVPERF, which focuses on performance rather than the gap between expectations and perceptions.